



“ In the year under review, the group demonstrated resilience in a tough operating environment to deliver strong financial results. Moreover, the volatile foreign exchange rates in both Kenya and Ethiopia posed additional pressure on the consumers wallets. The Board of Directors have proposed a final dividend of KShs 0.65 per ordinary share amounting to KShs 24.84Bn to be approved at the Annual General Meeting (AGM). This will be in addition to the interim dividend of KShs. 0.55 per ordinary share that was already declared and paid during the year. The Board reaffirms its commitment to providing strategic direction and support to management as they execute the Company's strategy by remaining faithful to our vision of becoming a purpose-led Technology Company. Additionally, the Board acknowledges the importance of stakeholders and calls upon our regulators and Governments of Ethiopia and Kenya to continue to foster a harmonized business environment. By working together, we will navigate these turbulent times more effectively, ensuring sustained success amidst uncertainty.

Adil Arshed Khawaja (MGH)
Chairman of the Board

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“

We have delivered a strong performance In the penultimate year of our 2025 strategy. These results are the outcome of an increasingly efficient and productive workforce attributed to our agile ways of working; accelerated investment in new capabilities that has enabled us to harness the power of big data to drive informed decision-making and enhance our customers experiences. All the while, we remained committed to our purpose of Transforming lives by investing our time and resources to solving societal challenges and forge deeper connections with our communities. We are proud of the success that Safaricom Ethiopia has achieved in a relatively short span of time. Our focus on scaling operations for Ethiopia's digital future has been instrumental in driving our growth. Our success is testament to the hard work, dedication, and resilience of our team, and I am confident that we will continue to build on this momentum in the years to come.

Peter Ndegwa (CBS)
Chief Executive Officer

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Condensed statement of comprehensive income for the year ended:	Group (KShs Mn)		Company (KShs Mn)	
	31-Mar-24	31-Mar-23	31-Mar-24	31-Mar-23
Service revenue	335,353.1	295,692.3	326,564.6	291,806.4
Handset revenue and other revenue	10,540.3	11,449.8	8,766.2	10,773.0
Other income	3,553.8	3,762.7	4,386.5	7,900.4
Total revenue	349,447.2	310,904.8	339,717.3	310,479.8
Direct costs	(97,046.9)	(92,232.1)	(89,261.9)	(89,363.4)
Expected credit losses on financial assets	(5,807.4)	(4,725.3)	(6,073.4)	(4,925.3)
Other operating expenses	(83,300.3)	(74,085.0)	(59,146.1)	(53,118.7)
Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA)	163,292.6	139,862.4	185,235.9	163,072.4
Depreciation and amortisation	(82,947.8)	(54,865.0)	(46,945.2)	(44,001.7)
Operating profit (EBIT)	80,344.8	84,997.4	138,290.7	119,070.7
Net finance cost	(16,641.5)	(7,087.1)	(13,106.5)	(10,012.3)
Share of associate and joint venture loss	(1,379.1)	(38.2)	(1,379.1)	(38.2)
Fair value adjustment to investment properties	-	90.0	-	90.0
Hyperinflationary monetary gain	22,363.2	10,383.1	-	-
Profit before income tax	84,687.4	88,345.2	123,805.1	109,110.2
Income tax expense	(42,029.0)	(35,862.4)	(41,151.3)	(34,170.6)
Profit after tax	42,658.4	52,482.8	82,653.8	74,939.6
Attributable to:				
Equity holders of the parent	62,991.7	62,268.9	82,653.8	74,939.6
Non-controlling interests	(20,333.3)	(9,786.1)	-	-
Profit for the year	42,658.4	52,482.8	82,653.8	74,939.6
Basic and diluted earnings per share (EPS) *	1.57	1.55	2.06	1.87
Profit for the year	42,658.4	52,482.8	82,653.8	74,939.6
Other comprehensive income:				
Exchange differences on translation of foreign operations	(7,278.1)	10,260.0	-	-
Other comprehensive (loss)/ income for the year	(7,278.1)	10,260.0	-	-
Total comprehensive income for the year	35,380.3	62,742.8	82,653.8	74,939.6
Attributable to:				
Equity holders of the parent	59,230.9	67,984.7	82,653.8	74,939.6
Non-controlling interests	(23,850.6)	(5,241.9)	-	-
Total comprehensive income for year	35,380.3	62,742.8	82,653.8	74,939.6

Condensed statement of financial position as at:	Group (KShs Mn)		Company (KShs Mn)	
	31-Mar-24	31-Mar-23	31-Mar-24	31-Mar-23
Non-current assets	558,622.4	436,771.5	316,743.4	279,735.9
Current assets				
Current income tax	-	851.6	7.9	-
Inventories	4,526.0	3,655.6	2,639.0	2,231.5
Trade and other receivables	48,119.0	40,791.5	28,079.9	23,788.1
Net cash and cash equivalents	22,868.2	22,098.1	19,072.1	18,061.9
Restricted cash - letter of credit	1,563.4	615.1	-	-
Other financial assets	-	28.6	-	-
Contract assets	5,202.0	4,395.0	4,748.8	4,236.3
Mobile financial deposit	263.3	-	-	-
Total assets	641,164.3	509,207.0	371,291.1	328,053.7
Equity				
Share capital	2,003.3	2,003.3	2,003.3	2,003.3
Share premium	2,200.0	2,200.0	2,200.0	2,200.0
Retained earnings	134,314.0	121,823.6	171,640.5	137,065.2
Other reserves	61,789.3	36,688.4	-	-
Proposed dividend	26,042.5	24,840.6	26,042.5	24,840.6
Equity attributable to equity holders of the parent	226,349.1	187,555.9	201,886.3	166,109.1
Non-controlling interests	109,398.8	75,810.0	-	-
Total equity	335,747.9	263,365.9	201,886.3	166,109.1
Non current liabilities	137,594.3	105,463.9	60,693.5	61,582.6
Current liabilities				
Current income tax	193.1	2,408.8	-	192.2
Dividend payable	6,649.2	1,783.0	6,649.2	1,783.0
Borrowings	45,053.6	45,555.4	41,555.8	37,563.1
Lease liabilities	6,411.0	5,354.9	5,163.1	4,376.6
Payables and accrued expenses	94,919.5	70,625.1	41,822.5	42,235.5
Provisions	2,938.9	4,524.1	2,938.9	4,524.1
Mobile financial payable	263.3	-	-	-
Contract liabilities	11,393.5	10,125.9	10,581.8	9,687.5
Total liabilities	167,822.1	140,377.2	108,711.3	100,362.0
Total equity and liabilities	641,164.3	509,207.0	371,291.1	328,053.7

Condensed statement of cash flows for the year ended:	Group (KShs Mn)		Company (KShs Mn)	
	31-Mar-24	31-Mar-23	31-Mar-24	31-Mar-23
Cash flows from operating activities				
Cash generated from operations	149,469.2	159,596.8	178,939.7	160,263.4
Interest received	2,155.0	1,571.0	1,940.2	1,302.3
Income tax paid	(43,700.6)	(45,016.7)	(41,618.4)	(44,493.9)
Net cash generated from operating activities	107,923.6	116,151.1	139,261.5	117,071.8
Net cash used in investing activities	(100,218.2)	(71,875.6)	(81,461.4)	(57,583.5)
Cash flows from financing activities				
Dividends paid	(42,010.4)	(63,557.8)	(42,010.4)	(63,557.8)
Interest paid on borrowings	(12,776.5)	(6,924.4)	(10,907.6)	(6,415.4)
Other investing activities	45,090.4	23,617.8	(3,871.9)	2,986.2
Net cash used in financing activities	(9,696.5)	(46,864.4)	(56,789.9)	(66,987.0)
(Decrease) / increase in cash and cash equivalents	(1,991.1)	(2,588.9)	1,010.2	(7,498.7)
Movement in cash and cash equivalents:				
At start of year	22,098.1	30,779.6	18,061.9	25,560.6
Net foreign exchange differences	1,923.5	537.7	-	-
Net monetary gain/(loss) on cash and cash equivalents	837.7	(6,630.3)	-	-
(Decrease) / increase in cash and cash equivalents	(1,991.1)	(2,588.9)	1,010.2	(7,498.7)
At end of year	22,868.2	22,098.1	19,072.1	18,061.9

MESSAGE FROM DIRECTORS

The Board of Directors is pleased to announce the condensed audited results for the year ended 31 March 2024. The condensed audited results are extracts from the financial books of Safaricom PLC (the "Company" or "Safaricom") and its subsidiaries together ("the Group") and have been adjusted for the effects of hyperinflation for Safaricom Telecommunication Ethiopia PLC as required by IAS 29 "Financial Reporting in Hyperinflationary Economies".

Business review - Group

We are pleased with our performance in financial year 2024 (FY24) despite a tough operating environment compounded by rising inflation adversely affecting our customers disposable income. Our Group's Service revenue grew 13.4% YoY to KShs 335.35Bn in FY24 mainly supported by M-PESA, Mobile Data and Fixed Data. Overall, the Group customers grew 6.8% YoY to 49.02Mn while one-month active customers grew by 9.1% YoY to 37.70Mn. Safaricom Kenya's overall market share stood at 65.9% as at December 2023. The Group's capital expenditure for the year ended 31 March 2024 stood at KShs 93.54Bn with KShs 46.25Bn being investment in rolling out operations in Ethiopia. The Group's profit for the year attributable to equity holders of the parent grew 1.2% YoY to KShs 62.99Bn.

Business Review - Kenya

Voice and Messaging

Voice revenue declined by 1.7% YoY to KShs 79.51Bn reflecting the global impact of the downward trend of voice service. We continue to offer better integrated and segmented propositions through our Customer Value Management (CVM) initiatives to drive affordability and usage. During the period, rate per min declined 12.7% YoY to KShs 1.25 while minutes of use per subscriber rose 15.9% YoY to 189.41. Messaging grew 8.0% YoY to KShs 12.28Bn supported by 8.0% growth in Average Revenue per User (ARPU) to KShs 47.33. Voice and messaging revenue are now 27.8% of service revenue.

M-PESA

M-PESA revenue grew strongly by 19.4% YoY to KShs 139.91Bn driven by increased usage. Chargeable transactions per one-month active customers rose 33.9% YoY to 31.51 while ARPU grew 16.1% YoY to KShs 361.32. Total transaction value rose 9.4% YoY to KShs 39.39Trn while volumes grew 34.7% YoY to 28.33Bn.

One-month active M-PESA customers grew 0.9% YoY to 32.41 Mn. Lipa Na M-PESA active merchants grew 4.3% YoY to 633.01k while pochi tills stood at 632.68k as at the end of FY24. M-PESA now accounts for 42.2% of service revenue, further complementing traditional voice and messaging services.

Mobile Data

Mobile data revenue recorded a double-digit growth of 18.0% YoY to KShs 63.24Bn while ARPU grew marginally by 1.5% YoY to KShs 242.71. We continue to leverage price transformation, transparency, and personalised offers through CVM initiatives to enhance affordability on our data offerings. Data usage per chargeable subscriber increased by 6.4% YoY to 3.79GB while distinct bundle users grew 13.8% to 19.69Mn. Average rate per MB declined further by 4.6% YoY to 6.40cents during the year.

We continue to drive the penetration of 4G-enabled mobile devices through our device financing program while providing the right content to encourage usage. The number of smart phones on our network grew by 12.9% YoY to 22.93Mn. 4G devices grew by 27.5% YoY to 16.85Mn with 49.7% using more than 1GB while 5G devices rose by 79.3% YoY to 669.71k. Mobile data now accounts for 19.2% of Service Revenue.

Fixed Service and Wholesale Transit

Fixed service and wholesale transit revenue grew by 12.0% YoY to KShs 15.11Bn supported by growth in consumer revenue which rose 31.1% to KShs 6.48Bn and 0.9% YoY growth in Enterprise revenue to KShs 8.63Bn. Our fixed data market share stood at 36.7% as at December 2023 according to the Communications Authority of Kenya sector statistics report. Fibre to the Home (FTTH) and fixed enterprise now account for 4.6% of service revenue. FTTH customers grew 27.0% YoY to 248.57k. FTTH penetration rose to 66.4% with homes connected growing 34.9% YoY to 371.99k while homes passed increased by 20.3% YoY to 560.26k. Fixed Enterprise customers grew by 13.1% YoY to 59.46k.

Profit for the Year (Net Income)

Net income grew 13.7% YoY to KShs 84.74Bn supported by M-PESA, Mobile Data and effective cost management initiatives in the period.

Business Review- Ethiopia

Safaricom Telecommunications Ethiopia (STE) has made great milestones in this first full year since launch. Service revenue grew to KShs 5.76Bn supported by Mobile data revenue at KShs 4.17Bn and Voice revenue at KShs 1.03Bn. We continue to accelerate customer acquisitions with gross additions now at 9.4Mn supported by 2,806 sites covering 38% of the population. Data usage continues to grow with usage levels increasing to 4.3GB. During the year we launched M-PESA in mid August 2023 and registered customers stood at 4.51Mn by the end of FY24 with 25.8k M-PESA agents onboarded. STE will leverage the Group's mobile financial services scale and expertise to transform the lives of Ethiopians, in Africa's second most populous country.

Dividend

During the year, an interim dividend of KShs 0.55 per Ordinary share (2023: KShs 0.58) amounting to KShs 22.04Bn (2023: KShs 23.24Bn) was declared and paid. The Directors have proposed a final dividend in respect of the year ended 31 March 2024 of KShs 0.65 (2023: KShs 0.62) per ordinary share amounting to a total of KShs 26.04Bn (2023: KShs 24.84Bn) to be approved at the Annual general Meeting (AGM) to be held on 25 July 2024. This brings the total dividend for the year to KShs 48.08Bn (2023: KShs 48.08Bn) which represents KShs 1.20 per share in respect of the year ended 31 March 2024 (2023: KShs 1.20 per share). The final dividend will be payable on or about 31 August 2024 to the Shareholders on the Register of Members as at the close of business on 31 July 2024. Dividend is calculated based on profit after tax attributable to equity holders of the Company and excluding hyperinflationary impact from Ethiopia numbers.

Tax

The Group continues to be a major contributor to the revenues of the Government of Kenya and remitted KShs 144.67Bn in duties, taxes and license fees in the year ended 31 March 2024. This increased the total duties, taxes and fees paid since inception of Safaricom PLC to KShs 1.32Trn.

These results were duly approved by the Board of Directors on 8 May 2024 and signed on its behalf by;

Adil Arshed Khawaja (MGH)
Chairman and Non-Executive Director

Peter Ndegwa (CBS)
Chief Executive Officer

Partnering for Impact

» Forward Faster Initiative

An initiative by United Nations Global Compact (UNGC) to fast-track achievement of the SDGs

» Advocacy

- Africa Climate Summit
- Conference of the Parties (COP28)
- United General Assembly (UNGA)
- Global Refugee Forum

» Africa's Top 50 Companies in Sustainability

The 4th Africa Public Sector Conference and Awards

Our SDG Guiding Framework



ESG Achievements

Environment (E)

- 1.5Mn trees grown, targeting 5Mn by 2025
- 23% Solar energy mix, with 1,456 solar sites
- 25% Scope 1 & 2 emissions reduced since 2017
- Net Zero by 2050 (Science Based Targets initiative (SBTi) validated)
- 98% recycling rate on solid waste from facilities
- 100% elimination of single use plastics

Social (S)

- 3.5Mn lives impacted by the Foundations in FY24
- Diversity & Inclusion; 41.8% women in leadership
- 3.4% of workforce are PwDs
- 51% Male vs 49% Female staff overall
- Zero Fatalities reported in FY24
- 5.85% of our procurement spend going to local marginalized groups

Governance (G)

- Board Diversity: Male 55%; Female 45%
- Risk management framework is aligned to the International Risk Management Standard ISO 31000
- 100% compliance to both industry and environmental regulations
- 80% of our suppliers signed up to the Code of Ethics for Businesses in Kenya

*Numbers are as at 31st Mar 2024

STRATEGY EXECUTION HIGHLIGHTS | Strong Commercial & Execution Momentum



Performance Momentum in Kenya

Mobile Data; M-PESA; Consumer Fixed; EBIT Growth



Commercial progress in Ethiopia

Mobile Data usage; M-PESA Launch; Network rollout



Agile Acceleration

49% Agile; Level 3 agile maturity



Big Data Acceleration

Fully set up the data engineers and scientists center of excellence



Purpose and Brand

Scaled up purpose spend and focus; refreshed customer segmentation

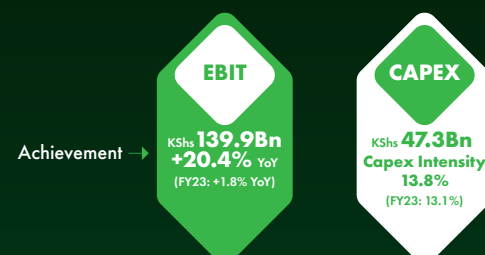


Public Sector Digitisation

Hustler Fund; Digital Health; Agriculture

FY24 PERFORMANCE | Outstanding Kenya Performance, Outperforming Group Guidance

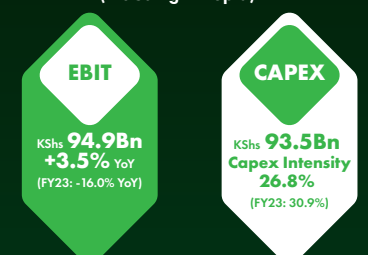
Safaricom Kenya Performance



Achievement → **KShs 139.9Bn +20.4% YoY (FY23: +1.8% YoY)**

Guidance (KShs) → **129 - 132Bn**

Safaricom Group Performance (Including Ethiopia)*



Achievement → **KShs 94.9Bn +3.5% YoY (FY23: -16.0% YoY)**

Guidance (KShs) → **87 - 93Bn**

Group Service Revenue**
KShs **335.4Bn**,
+13.4% YoY

Group Net Income excluding Minority Interest**
KShs **63.0Bn**, +1.2% YoY

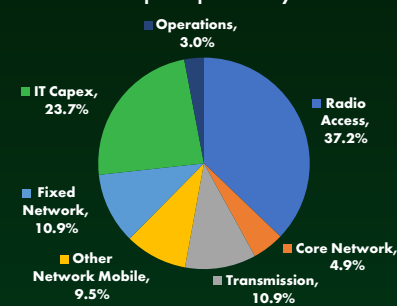
*Group numbers are exclusive of hyper-inflationary Adjustments on Ethiopia numbers
**Including IAS 29

ETHIOPIA PERFORMANCE | We Achieved Key Milestones in FY24

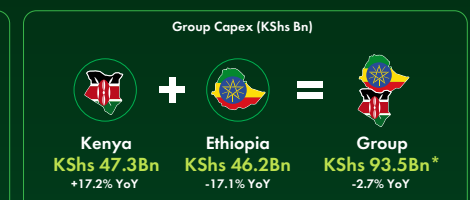
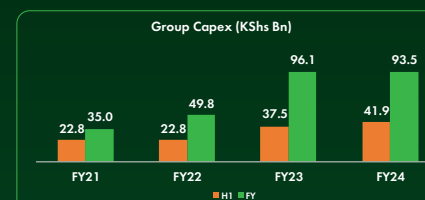
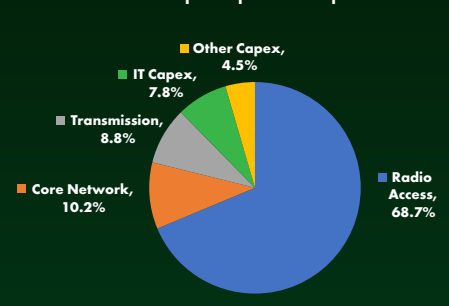
Customers	4.4Mn 90-day Active Customers	2.8Mn 90-day Active Data Customers	4.3GB per Mobile Data User (Mar exit at 6.2GB)
M-PESA	4.5Mn Total Registered M-PESA Customers	62.7k Active Merchants & 25.8k Agents	KShs 24.5Bn Value & 31.5Mn Volume of M-PESA transactions
Network	2,806 2G/3G/4G Sites	Sites split Own-built 1,466 Collocated 1,340	38% Population Coverage
People	887 Permanent Employees	90% Ethiopians 10% Expats	63% Male 37% Female

CAPEX | Sustained Investment to Support Network Expansion in New Growth Areas & Ethiopia

FY24 Capex Split - Kenya



FY24 Capex Split - Ethiopia



*Excludes hyperinflationary impact